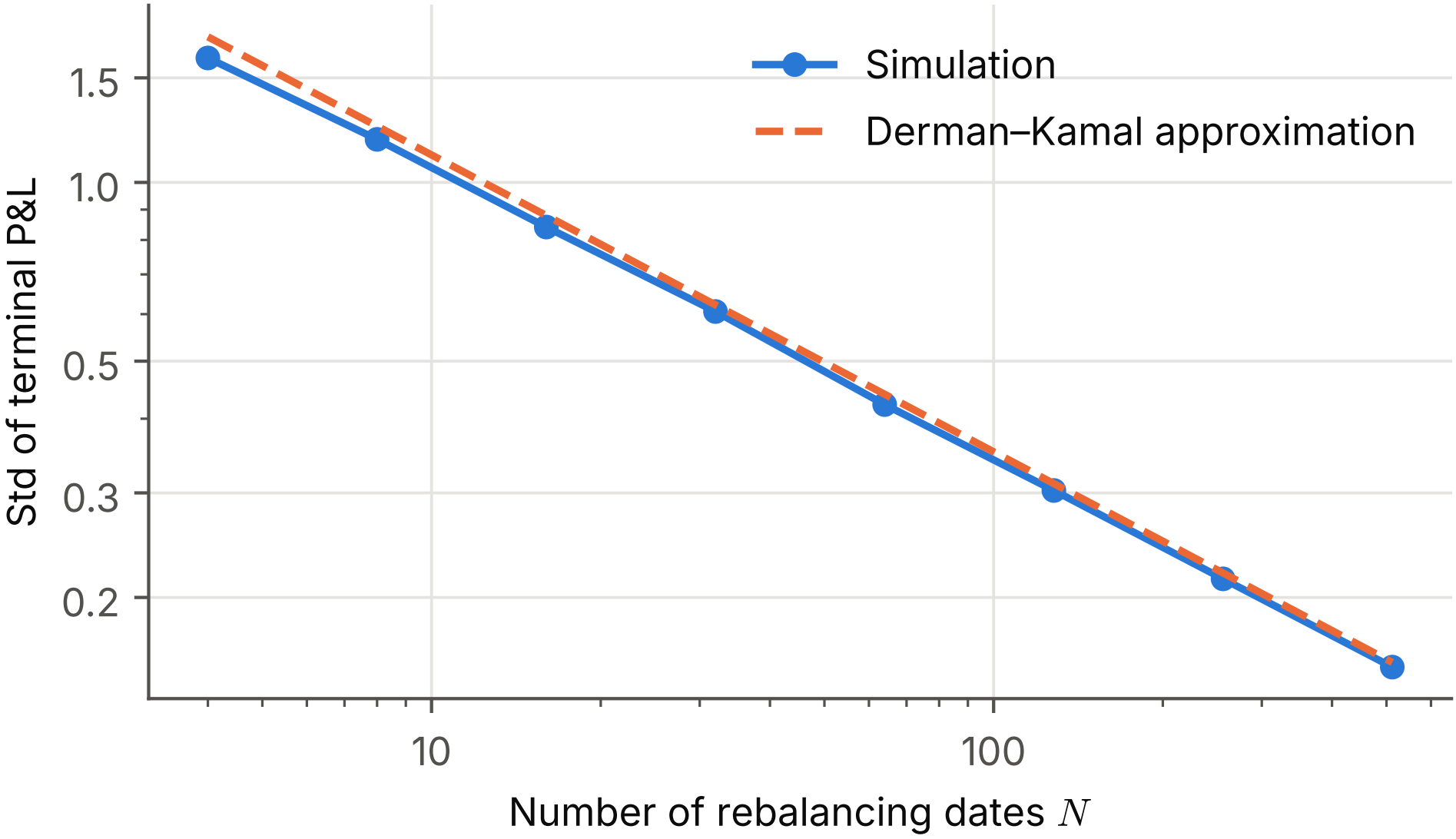
Simulation
Derman–Kamal approximation
Std of terminal P&L
1.5
1.0
0.5
0.3
0.2
10
100
Number of rebalancing dates N